

INVESTMENT PORTFOLIO ANALYSIS

Hypothetical Portfolio — ₹1,00,000 | Moderate Risk | Tech-Focused

1. Objective

The objective of this portfolio is to grow a capital of ₹1,00,000 over a **3–5 year horizon** through a balanced mix of equity stocks, exchange-traded funds (ETFs), and cryptocurrencies. The portfolio reflects a **moderate risk appetite** — aiming for above-average returns while limiting excessive downside exposure through diversification across asset classes, sectors, and geographies.

2. Allocation Overview

Asset Class	Allocation	Amount (₹)	No. of Holdings
Stocks (Indian IT & Banking)	50%	₹50,000	5
ETFs (Index + Global Tech + Gold)	30%	₹30,000	3
Cryptocurrency	18%	₹18,000	3
Liquid Fund / Cash Buffer	2%	₹2,000	1
TOTAL	100%	₹1,00,000	12

3. Rationale by Asset Class

A. Stocks — 50% (₹50,000)

Indian IT stocks form the core of this portfolio. The technology sector has consistently outperformed the broader market due to strong export earnings, a growing global client base, and India's cost advantage in software services.

- **TCS (₹15,000):** India's IT bellwether. Stable revenue, consistent dividends, and strong enterprise deals make it the safest large-cap tech pick.
- **Infosys (₹12,000):** Excellent digital transformation pipeline. Its Cobalt cloud platform and AI-led services are gaining traction globally.
- **HDFC Bank (₹10,000):** Added for sectoral diversification. India's largest private bank with industry-leading asset quality and return on equity.
- **Wipro (₹8,000):** Undervalued mid-large cap with improving margins post-restructuring and strong AI/cloud focus.
- **Persistent Systems (₹5,000):** High-growth mid-cap IT stock with consistent earnings upgrades and strong US revenue exposure.

B. ETFs — 30% (₹30,000)

ETFs provide passive, diversified exposure with low costs. This portfolio uses three ETFs to cover domestic equities, global technology, and gold — balancing growth with stability.

- **Nifty 50 ETF — Nippon NIFTYBEES (₹12,000):** Tracks India's top 50 companies. Low expense ratio (~0.05%). Ideal long-term core holding.
- **Mirae FANG+ ETF (₹10,000):** Provides exposure to Meta, Apple, Nvidia, Alphabet, and other global tech giants. Adds international diversification.

- **Gold ETF — GOLDBEES (■8,000):** Acts as a hedge against inflation and market downturns. Historically, gold performs well when equity markets are volatile.

C. Cryptocurrency — 18% (■18,000)

Crypto allocation is kept at 18% — high enough to benefit from upside potential, yet controlled enough to limit portfolio-wide damage in a bear market. Only established, high-liquidity tokens are chosen.

- **Bitcoin — BTC (■10,000):** Digital gold. Institutional adoption is rising with Bitcoin ETF approvals globally. Largest and most liquid crypto asset.
- **Ethereum — ETH (■5,000):** The backbone of DeFi, NFTs, and smart contracts. ETH staking provides passive income on top of price appreciation.
- **Solana — SOL (■3,000):** Fast, low-cost Layer-1 blockchain. Higher risk but strong developer activity and growing ecosystem justify a small position.

D. Liquid Fund / Cash Buffer — 2% (■2,000)

A small cash buffer is maintained in a liquid mutual fund for quick rebalancing opportunities and as an emergency reserve. This earns ~6–7% annually while staying instantly accessible.

4. Risk Management Strategy

- **Market Risk:** Mitigated by diversifying across sectors (IT, Banking), geographies (India + Global), and asset classes (equity, ETF, crypto, gold).
- **Crypto Volatility:** Crypto is capped at 18%. Even a 50% crash in crypto would reduce overall portfolio value by only ~9%, which stocks and ETFs can compensate over time.
- **Concentration Risk:** No single stock exceeds 15% of the total portfolio. Top 3 holdings combined are under 40%.
- **Currency Risk:** FANG+ ETF involves USD exposure — this is intentional as a hedge against INR depreciation.
- **Liquidity Risk:** All chosen assets (stocks, ETFs, crypto) are highly liquid. The liquid fund buffer adds an extra safety net.

5. Rebalancing & Review Plan

Portfolio rebalancing should be done every **6 months** or when any asset class deviates more than **±5%** from its target allocation. Crypto positions should be reviewed quarterly given their high volatility. Profits from crypto can be progressively shifted into ETFs or stocks to reduce overall risk as the portfolio grows.

Disclaimer: This is a hypothetical portfolio created for educational purposes as part of a Finance & Investment Analysis internship. It does not constitute financial advice. Past performance of any asset does not guarantee future returns. All investment decisions involve risk and should be made after personal due diligence.